HEADLINE JUDGMENT

Score HOLDS at 27/30 for a fourteenth consecutive edition. No channel moved. The day's finding is that the mine claim is now contradicted on the OPERATIONAL record, and that Iran answered the mediators by naming a price rather than a route. One. JMIC Update 090 (ICOD 271500Z August), published by UKMTO on 27 August, states verbatim that 'there remained a continued risk of drifting or uncharted mines in and near the TSS, with mine danger areas still active' — and adds that 'clearance and mine-surveying operations continue throughout the Strait of Hormuz, with updated coordinates and graphics available from NAVCENT NCAGS'. Two days after the President of the United States declared that all mines had been removed from the international waters of the Strait, the US Navy's own component command is named in that advisory as the source of the current mine-danger coordinates. (!) That narrows the standing three-way dispute but does not close it: 090 is an allied product carrying a NAVCENT referral, not a NAVCENT statement, and no US Navy, CENTCOM or NAVCENT text addressing the presidential claim has issued (A1.4). The operational record and the political claim do not agree; the operational record is the American one. Two. UKMTO Attack 121-26 was issued on 27 August for an incident of 25 August: the tanker AL SALAM II, transiting EASTBOUND INSIDE the Strait near Khasab, struck above the waterline by an unknown projectile, fire extinguished, all crew safe — confirmed by the OMANI Maritime Security Centre at 262350Z. The cumulative incident count moves 96 to 97. The publication lag is itself the finding: the corridor and revenue-sharing announcements of 26 August were made by Tehran the day AFTER a vessel had been struck inside the Strait, and the day BEFORE any public record of that strike existed. No party has claimed the attack and no government has attributed it. Three. Iran named a price. SNSC Secretary Mohsen Rezaei, to Al Manar and relayed by Reuters on 27 August: **Iran is drafting a LIST OF CONDITIONS for reopening the Strait at the mediators' request, with 'ending the regional war' among them, and ships would use a 'designated central channel' only if the United States met those conditions. (!) That is the THIRD Iranian description of the arrangement in TWO days — Gharibabadi's entry through Iranian territorial waters, the IRGC's agreed share of waters and revenues, and now a central channel; two are geometries and one is a revenue claim, and none has an Omani counterpart, because the 25 August joint STATEMENT — the only text either government has published — describes no geometry, no fee and no revenue share. A senior Iranian source told Reuters on 26 August the two sides were 'still working on details'. All Tier 3, all relayed; relay is not corroboration. Four. Qatar's prime minister went to Tehran on 27 August carrying a position incompatible with the framework itself.** He met Araghchi, Pezeshkian and Ghalibaf; Doha's stated object, per its own spokesman, is **freedom of navigation and a return to the status quo PRIOR TO 28 FEBRUARY** — an international waterway under the IMO traffic separation scheme, which is the negation of a jointly administered, revenue-sharing Strait. **(!) AND A STANDING PREMISE OF THIS DOCUMENT IS NARROWED: the last two editions wrote that the un-issued joint DECLARATION — a later and different instrument from the 25 August joint STATEMENT, which WAS issued — is 'Qatar's gate on all mediation'. Nothing published in this window supports that — Qatar engaged on 27 August with the framework still only 'discussed'. §9.23 governs: the claim was load-bearing, it was inherited, and it is cut back to what the record shows. Five, and Washington disowned the track on the record the same day.** White House press secretary Karoline Leavitt, 27 August: **'No negotiations are happening right now, and this will continue until the president feels that maybe they come to the table in a meaningful way. We have not seen that yet.'** She named the two campaigns — **Operation Epic Fury** militarily and **Operation Economic Outcast** economically — and confirmed the naval blockade continues. **Six, and it is the market half. The 27 August Singapore snapshot missed the ENTIRE US session in ONE direction, and FOUR of this document's readings are withdrawn by name in A1.2 — three because of the snapshot and one because of a restatement (§9.31).** Brent settled **$2.10** above the snapshot and the active $2.47, and the whole 2- to 30-year sector +1.03 to +1.76 bp. **(!) Henry Hub and TTF are EXCLUDED from the reconciliation: their gaps mix a timing miss with the restatement and measure neither (A1.1, A1.2). Brent ROSE $1.58 to $88.52, ending the down-run at three, and the upgrade gap NARROWED to $6.48 from $8.06 — the opposite of what the last edition led on. The four are: (a) the three-session down-run together with the 'second consecutive widening' to $8.06; (b) the intraday claim that the 30-year failed Threshold B by 1.73 bp, which settled at 0.69; (c) '§9.15 is restored', which described 26 August and does not describe 27 August; and (d) 'Henry Hub 7.22% below pre-war', the one withdrawal the Singapore cut did NOT cause. Seven. Threshold B did not re-arm, and it has never been closer on the binding leg: the 30-year fails by 0.69 bp — the narrowest 30-year-leg miss recorded ON A CLOSE — while the 10-year is SATISFIED at 4.6762%.** The fifth lapse is now three closes old, 25 to 27 August; **the ordinals are recomputed and unchanged at the TENTH state and the NINTH change. Eight. §9.15 does NOT fire on 27 August, and saying so is the point of the rule.** The two Treasury downgrade legs did not rotate — **they BOTH moved away: MOVE rose 0.42 to 69.86, still an EIGHTH consecutive close below 75 but by less, while the yield leg widened 2.60 bp to 19.31.** The last such joint deterioration was 21 August. **US-inflation therefore REMAINS the nearer of the two market downgrade candidates, as it was a session ago, and the distance between them widened from 0.59 bp to 1.69. Nine. The $44bn 7-year cleared at 4.512% on a 2.50 cover with dealers at 12.264% of competitive-accepted — a FIFTH consecutive coupon auction with a backstop in single or low double digits, and the SECOND-HIGHEST of the five, behind the 20-year's 12.34%. The run is intact; it is not tightening. Ten. Diesel's run of war highs BROKE: AAA diesel fell 0.47 cents to $5.6183 after four consecutive war highs — none of them an all-time record, which is 19.76 cents higher — and regular is now BELOW both its week-ago and its month-ago level. The scored AUTMUSAG series is DARK on 27 August with its 28 August print PROSPECTIVE, and its 26 August value backfilled at $4.83, IDENTICAL to 25 August's — so it is reported UNRESOLVED, not as a print (§9.35). Eleven, and it is a data-integrity finding. A vendor RESTATEMENT occurred, confined to the gas complex: Henry Hub and TTF were restated UPWARD across 24, 25 and 26 August and every other field is unrestated. This document's own 'Henry Hub 7.22% below pre-war' now reads 6.17% on the restated 26 August close — a number that moved without the market moving. Sequencing 27 → 27 → 27** — the last three editions' totals, in order.

1 · LIVE TAPE

Scoring reference is the 27 August close (Thu); the 28 August row is a Singapore-AM snapshot and moves no channel (§4a). **The row- and basis-level integrity checks CLEAR; the field-level check FIRES ONCE, on AUTMUSAG; and there IS a restatement, confined to Henry Hub and TTF — A1.1. The 28 August US session had not begun at the cut, so US items dated 28 August are PROSPECTIVE, not unobtained (§9.46).** Full commentary is in **ANNEX A1**.

1.1 · Energy

Series	25 Aug	26 Aug	27 Aug close	28 Aug intr.	Trigger note
Brent CO2 (scored)	87.27	86.94	**88.52**	**88.13**	**$6.48 from the $95 upgrade, NARROWED from $8.06. The three-session down-run ENDED at three on a +$1.58 close**
Brent COA (active)	88.58	87.84	**89.70**	89.18	**$5.30 from $95, from $7.16. Quote both bases (§9.36)**
WTI CL2 / CLA	80.88 / 82.36	80.85 / 82.23	81.97 / 83.53	81.54 / 83.07	Basis 1.38–1.56 across the four sessions shown, no sign change; d/d comparable from 21 Aug forward only
Henry Hub NGA	2.821 **(r)**	2.874 **(r)**	**2.914**	2.908	**4.86% BELOW its $3.063 pre-war anchor. (r) = RESTATED UP by the vendor; the last edition published 2.770 and 2.842 for these two closes**
TTF TZTA	66.722 **(r)**	65.777 **(r)**	**68.268**	68.620	**+118.6% vs pre-war. (!) The war-record CLOSE is €68.457 (24 Aug, itself restated up from 68.320); 68.620 is an INTRADAY and is NOT a record close**
Asia LNG JGLA	**3,793**	3,623	**3,687**	no print	**+120.9% vs pre-war; second-highest close of the war, behind the 3,793 war high of 25 Aug**

The structural triangle is unchanged and it is what identifies this as a routing shock rather than a global energy shock: the two import benchmarks sit at or beside war records while the largest producer's domestic benchmark closed 4.86% BELOW where the war started. (!) But the gas figures are NOT comparable with prior editions: both European and US gas were restated upward across three sessions, so the Henry Hub discount to pre-war narrowed partly because the vendor moved the data. Directional analysis is continuous; absolute levels are not (A9). A1.1.

1.2 · US Treasuries and inflation expectations

Basis points. **A bear selloff led by the BELLY: every tenor rose and the 5-year led, so 2s10s steepened while 5s30s flattened 1.17 bp. It is not the front-end Fed repricing of 26 August.**

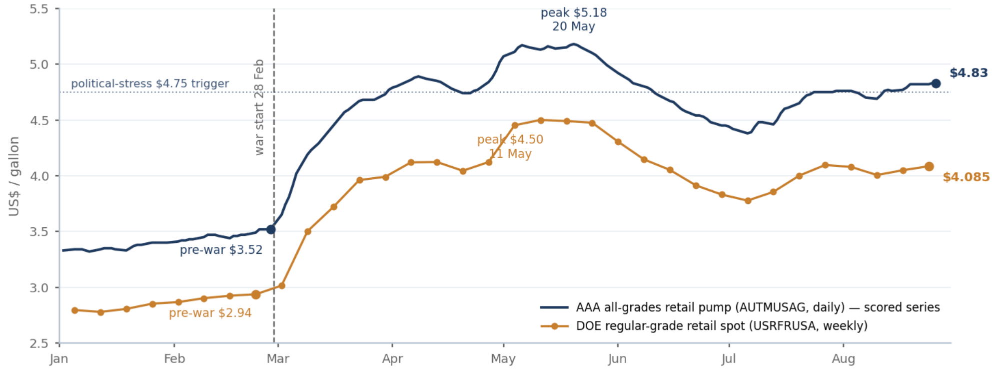
Tenor	25 Aug	26 Aug	27 Aug close	28 Aug intr.	d/d 27v26, bp	Trigger note
2-year / 5-year	4.1741 / 4.3353	4.2093 / 4.3619	**4.2320 / 4.3996**	4.2238 / 4.3891	**+2.27 / +3.77**	**No trigger on either tenor. The 5-year led the curve, which is neither a pure Fed nor a pure term-premium signature**
10-year	4.6288	4.6465	**4.6762**	4.6703	**+2.97**	**SATISFIES Threshold B's 4.65% leg by 2.62 bp, having failed by 0.35 bp a session earlier. Still satisfied on the 28 Aug intraday, by 2.03**
30-year	5.1651	5.1671	**5.1931**	5.1941	**+2.60**	**Downgrade leg fails by 19.31 bp, WIDENED from 16.71; fails B's 5.20% by 0.69 bp — the narrowest 30-year-leg miss recorded**
2s10s (USYC2Y10)	45.257	43.308	**44.014**	44.448	**+0.706**	**Steepened on the close off the 43.308 of 26 Aug, the flattest close since 6 Aug, and again on the 28 Aug intraday; still 11.63 bp flatter than the 55.64 pre-war anchor. (!) USYC2Y10 is a SEPARATE Bloomberg series and is NOT the arithmetic difference of the printed generics — 4.6762 minus 4.2320 is 44.42, against the printed 44.014**
10y BE / 5y5y fwd	2.3135 / 2.2991	2.3260 / 2.3032	**2.3335 / 2.3182**	2.3320 / 2.3166	**+0.75 / +1.50**	**5y5y is 1.82 bp ABOVE the 2.30% that fired the upgrade, a SECOND consecutive close above after the 25 Aug break, and 17.62 bp above the 2.142% downgrade anchor — WIDENED from 16.12. BE10 7.66 bp above its 2.2569 anchor, from 6.91**

1.3 · Cross-asset

Series	26 Aug	27 Aug close	vs pre-war	Note
MOVE	69.44	**69.86**	**–3.52 vs 73.38**	**EIGHTH consecutive close below 75 (18–27 Aug), the longest run since 10 Jun–10 Jul — but it ROSE 0.42, so the leg is satisfied by less. FOURTH-lowest close of the sub-75 phase begun 12 Aug, behind 69.23 (13 Aug), 69.44 (26 Aug) and 69.58 (14 Aug). The WAR low is 65.39 (18 Jun)**
VIX / DXY / SOFR	15.21 / 99.165 / **3.64 (backfilled)**	**14.51** / 99.159 / no print	–5.35 / +1.55 / —	**VIX is the SECOND-LOWEST close of the war, behind the 14.25 of 14 Aug. SOFR BACKFILLED for 26 Aug at 3.64 after being reported blank last edition (§9.10); it is DARK on 27 Aug and its 28 Aug value is PROSPECTIVE (§9.46)**
Gasoline AAA all-grades (AUTMUSAG) — **scored**	**4.83 (UNRESOLVED)**	no print	+1.31 vs 3.52	**(!) The 26 Aug cell BACKFILLED at $4.83 — IDENTICAL to 25 August to 4dp — so §9.35 binds and it is reported UNRESOLVED with NO d/d asserted. Last RESOLVED print $4.83 (25 Aug), 23c above the $4.60 condition. DARK on 27 Aug; the 28 Aug value is PROSPECTIVE (§9.46)**
Gasoline DOE regular (USRFRUSA)	no print	no print	+1.15 vs ~2.94	**Weekly, surveyed Monday. Last print $4.085 (24 Aug); next EIA retail print 1 Sep — PROSPECTIVE**

DENOMINATOR DISCIPLINE (§9.19) — THREE distinct series, never compared: AUTMUSAG (AAA all-grades) is the scored one, last RESOLVED at $4.83; USRFRUSA (DOE regular, weekly) is corroboration at $4.085; AAA's published regular headline is a third, at $4.0997 on 27 August. A1.5.

1.4 · US retail gasoline — the two charted series (of three; see A1.5)



AAA all-grades (AUTMUSAG, navy, scored) and DOE regular retail (USRFRUSA, amber, weekly, corroboration only); the dotted line marks the $4.75 upgrade trigger, NOT the $4.60 downgrade condition. **The scored series has printed at or above $4.75 on every session since 12 August and sits 23 cents above $4.60. Its 26 August cell backfilled at a value identical to 25 August's and is charted as plotted but read as UNRESOLVED; 27 August is dark, the 28 August print is PROSPECTIVE, and §9.30 reads no trend through either in any direction.**

1.5 · Strait operational — summary

Strand	State on 28 August	Source
UKMTO / incidents	**TWO NEW TIER 1 PRODUCTS, both obtained by DIRECT FILE URL. JMIC Update 090 (ICOD 271500Z) supersedes 089: cumulative count 96 → 97, one incident since the last report; Hormuz SEVERE and every threat level marked 'no change'. Verbatim on mines, and note the second sentence: 'There remained a continued risk of drifting or uncharted mines in and near the TSS, with mine danger areas still active' … 'Clearance and mine-surveying operations continue throughout the Strait of Hormuz, with updated coordinates and graphics available from NAVCENT NCAGS'. UKMTO Attack 121-26 (issued 27 Aug for a 25 Aug event): tanker AL SALAM II struck by an unknown projectile inside the Strait near Khasab. NO Update 091 and NO VRA Overview No. 4 — both probed by direct file URL and empty; 091 is due about 29 Aug and No. 4 is due 28 Aug, so BOTH are PROSPECTIVE, not unobtained (§9.46)**	JMIC Update 090 and UKMTO Attack 121-26, read in full by direct file URL, 28 Aug
Transits + blockade	**FIVE counts, five universes, never spliced (§9.24). JMIC 090 annex (S&P/SeaVision): 25 Aug 6 vessels (0 cargo, 6 tankers), 26 Aug 5 (1 cargo, 4 tankers), against a stated ~138/day 2025 baseline — and separately 37 US NCAGS-facilitated transits over the 25–26 Aug 48h, a facilitated SUBSET, never additive to the annex. Kpler via Reuters: 10 VISIBLE vessels on 26 Aug from 8 on 25 Aug, against its own 10-day average of ~15. (!) BASIS CHANGE: the last edition carried Kpler's 25 Aug figure as 5 COMMODITY vessels; Reuters now reports 8 VISIBLE vessels for the same day. Different Kpler series — NO revision and NO 5→8 delta is constructed. Windward publishes TWO counts for 26 Aug: 12 in its panel and 8 in its narrative on a stated 21:00–21:00 UTC window with an exclusion rule. TankerMap: 0 / 1 / 0 across 25–27 Aug, 7-day average 0.9 against its own ~21/day. Blockade tally UNCHANGED and still attributed to 24 Aug: 71 / 3 / 2**	JMIC 090 §4C and annex; Reuters (Kpler) 27 Aug; insights.windward.ai 27 Aug; tankermap.com
CENTCOM / kinetic	**NO CENTCOM release 27 or 28 Aug against the live index; the most recent of ANY kind is 15 Aug and the last combat release inside Iran is still 29 July — a 30-DAY GAP. 28 consecutive nights with no US or Israeli strike inside Iran; 8 with no Iranian ballistic launch; 9 with no drone launch. FOUR clocks, never merged. JMIC 090 records NO confirmed attack or disruption on shipping in the Arabian Gulf, Gulf of Oman, Arabian Sea, Gulf of Aden, Southern Red Sea and Bab el-Mandeb or Northern Red Sea in its period — the Strait of Hormuz is NOT among them, and the 25 Aug strike is what moved the count 96 to 97. (!) A Tier 2 claim that no launch by ANY party occurred anywhere in theatre in the 27 Aug window is NOT CARRIED: three Houthi ballistic missiles struck Mocha port on 26 Aug and a fourth hit Khokha, Hodeidah, on 27 Aug. The kinetic clocks below are about IRAN and the United States and are unaffected; the theatre-wide claim is withdrawn. Against it: the AL SALAM II was struck INSIDE the Strait, unclaimed and unattributed, and JMIC 090 records continuing IRGC harassment, UAV overflight and VHF hailing. TWO carrier strike groups — George Washington AND George H.W. Bush — in the ARABIAN SEA; neither has entered the Gulf of Oman or the Gulf**	centcom.mil releases index, read 28 Aug; JMIC 090; USNI Fleet Tracker 24 Aug — the newest published, four days old
Diplomacy	**Qatar's PM in TEHRAN 27 Aug, meeting Araghchi, Pezeshkian and Ghalibaf; Doha's stated object is a return to the pre-28 FEBRUARY status quo, which is the NEGATION of a jointly administered Strait. Rezaei, 27 Aug: Iran is DRAFTING CONDITIONS to reopen the Strait at the mediators' request; ships would use a 'designated central channel' only if the US complies. Leavitt, 27 Aug: 'No negotiations are happening right now.' Oman's MFA published NOTHING on the corridor on 26, 27 or 28 Aug — its only items are Nepal, Pakistan, Tunisia/Brunei and Kazakhstan. NO route coordinates. NO OFAC Iran action 27–28 Aug; the 27 Aug action is Venezuela-only and Bessent's financial-institution designation has NOT issued — a THIRD day**	Qatari MFA via Al Jazeera/AFP 27 Aug; Reuters (Al Manar) 27 Aug; Reuters via Arab News 27 Aug; fm.gov.om and ofac.treasury.gov read direct

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, at the cap. (i) The downgrade needs a verified reopening plus traffic above 25% of the UKMTO/JMIC ~138/day all-transit baseline for ten sessions. **JMIC Update 090 restates that baseline in its own text and then gives the counts against it: 6 vessels on 25 August and 5 on 26 August on the S&P/SeaVision annex — 4.3% and 3.6% of the scored divisor — with the prose reading 'single-digit numbers transiting in both directions'. (ii) Name every denominator, and do not add the two American series (§9.19, §9.24).** The same document reports **37 US NCAGS-FACILITATED transits across the 25–26 August 48 hours**, which is a facilitated subset on a different population and runs about three times the annex total for the same 48 hours; **they are printed side by side and never summed.** Kpler via Reuters counts **10 VISIBLE vessels on 26 August against its own ~15 ten-day average** — **(!) and its 25 August figure now reads 8 on the visible-vessel basis where the last edition carried 5 on the commodity-vessel basis; that is a different Kpler series, not a revision, and no delta is computed across them.** Windward publishes **two counts for the same 26 August day, 12 and 8**, the second on a stated 21:00–21:00 UTC window with an exclusion rule; both are Windward's. Al Jazeera, 27 August, puts the 15 July to 23 August average at **about five vessels a day, roughly 95% below its own stated ~100/day pre-war baseline** — a further divisor, quoted with its own basis. **The 25% test runs on the scored annex counts alone, and at 4.3% and 3.6% they are about a sixth of it; the other universes are not the scored one and no test runs on them. (iii) The most consequential datum is documentary rather than numerical. JMIC 090 describes the two lanes as operationally EXISTING — 'the northern Iranian-controlled route' and 'the southern Omani corridor' — and warns that vessels transiting with AIS on 'can expect to receive directed hails instructing them to divert toward the northern Iranian-controlled route'. (!) Read that precisely: it is advice about what vessels can EXPECT, not a log of instances, and no hailed or diverted vessel is named. What it does establish is that an allied military product already treats the two-lane architecture as the working environment and the northern lane as Iranian-controlled, before any instrument has been published. On that reading the corridor is the reason this channel cannot move on a communiqué.**

OIL PRICE SHOCK — 2/5, HELD, and the gap NARROWED after two widenings. (i) The sequence of edition-over-edition distances to the $95 upgrade reads **9.78, 8.43, 5.55, 5.21, 3.03, 7.73, 8.06, 6.48** on the scored CO2 series — **eight readings, five narrowings, two widenings** — and on the active contract $7.16 to **$5.30**. **Brent's three-session down-run ENDED at three: it closed +$1.58 at $88.52 on 27 August and printed $88.13 intraday on 28 August. (!) The last edition led on the down-run and on a second consecutive widening; the settled close reversed both, and the reversal is a §9.31 failure of the Singapore snapshot rather than a change of view — see A1.2, where it is withdrawn by name. (ii) No named, dated attribution for the 27 August move could be sourced, and none is asserted.** What can be stated is the physical record standing beside the price: **US commercial crude 428.9 mn bbl, essentially unchanged, on crude imports of 6.2 mb/d against a 6.6 four-week average; distillate about 14% below its five-year average and gasoline about 14% below on the EIA's own wording; and Kpler putting Chinese imports of Iranian crude routed through the Strait at about 530 kb/d across July and August combined, 48% below pre-war. (!) THE SPR FIGURE NOW HAS TWO IRRECONCILABLE VALUES AND BOTH ARE PUBLISHED: this monitor recorded 289.7 mn bbl, while the DOE's own SPR Quick Facts page, last modified 24 August, gives a crude-oil-inventory-by-site total of 294.1 MMB as of 20 August. Different series and different vintages; the DOE weekly 'current inventory' page is served as a JPEG and could not be read. NO delta is computed across them and NEITHER is withdrawn — §9.45 in A9. (iii) The basis check clears.** CO2/COA runs 1.31, 0.90, 1.18, 1.05 with no sign change; CL2/CLA runs 1.48, 1.38, 1.56, 1.53. **The July roll artifact remains an open methodological item — the scored continuation closed above $95 twice in late July on days the active contract never cleared it, so never write that Brent has not closed above $95 since the channel was cut (§9.36).** The downgrade needs a mediated pause AND a close at or below $72.48; the price leg is **$16.04** away and **WIDENED by $1.58 on the session** — **name the leg: a rising Brent moves toward the upgrade and away from the downgrade, and this session did both.**

US INFLATION IMPULSE — 5/5, at the cap, and the level whose break fired it has been reclaimed for two consecutive closes. (i) The 5y5y forward closed **2.3182% on 27 August, a SECOND consecutive close above the 2.30% level whose sustained break fired this channel from 4 to 5 on 31 July**, and 1.82 bp clear of it. **Bound that properly (§9.32): there have been exactly TWO single closes BELOW 2.30% in the current regime — 13 August and 25 August — and BOTH were retraced inside one session. Neither was a regime and neither moved a channel; §4a has now been vindicated twice on the same level. (ii) The documented downgrade is a sustained close at or below the 2.142% pre-war anchor, and the gap WIDENED to 17.62 bp from 16.12.** The rule has not been moved to meet the trigger and the distance between the two is published rather than closed (§9.16, §9.26). **(iii) The corroborating series moved the same way: ten-year breakeven compensation closed 2.3335%, 7.66 bp above its 2.2569% pre-war anchor, from 6.91. The forward and the realised data have now converged on the same reading, which is a change from the previous session.** July PCE landed hot on the headline on 26 August — **+0.2% m/m and +3.7% y/y against +0.1% and 3.6% consensus, core in line, real spending FLAT, with gasoline and other energy goods the largest single POSITIVE goods contributor at +$16.4bn inside a $49.9bn goods decline** — and on 27 August the compensation market moved up to meet it rather than fading it. **Consumers are cutting everything except the thing the war made expensive, and for the first time in this regime the forward market is pricing that as more than a relative-price event. The channel holds at 5 on the documented rule; the composition is what a reader should watch.**

TREASURY STRESS — 5/5, HELD, and §9.15 does NOT apply this session — which is the point of stating the rule rather than assuming it. (i) The last edition recorded the two downgrade legs ROTATING apart on 26 August. **On 27 August they did not rotate: BOTH moved away from the downgrade. MOVE ROSE 0.42 to 69.86 — still below 75 and therefore still satisfying its leg, but by 5.14 points instead of 5.56 — while the yield leg widened 2.60 bp from 16.71 to 19.31. A joint deterioration is not a rotation and must not be described as one; the previous joint deterioration was 21 August. (ii) The volatility leg is a regime and remains one, but state it precisely.** MOVE has closed below 75 on **eight consecutive sessions, 18 through 27 August** — the longest run since 10 June to 10 July, against an intervening maximum of five sessions, 15–21 July; the wider sub-75 PHASE dates from 12 August and was broken by a single close of 75.63 on 17 August, which is why the unbroken RUN starts on 18 August. **69.86 is only the FOURTH-lowest close of the sub-75 phase begun on 12 August, behind 69.23 (13 August), 69.44 (26 August) and 69.58 (14 August), and it is not close to the WAR low of 65.39 set on 18 June. (iii) The yield leg fails and it failed by more, and the arithmetic of how far is now unfavourable.** The rule requires a 30-year close below 5.00% **sustained**. **19.31 bp is more than twice the largest single-session 30-year move since 1 August, which is the 9.15 bp fall of 19 August, and the last four sessions moved 4.64, 5.94, 0.20 and 2.60 — so the yield leg is three or more sessions away on any reasonable reading, having been two to three a session ago. The honest summary of 27 August is that the**

whole curve sold off with the belly leading — 2-year +2.27 bp, 5-year +3.77, 10-year +2.97, 30-year +2.60 — which is neither the front-end Fed repricing of 26 August nor a term-premium session. It is a curve that sold off on labour-market data and an auction, with the Gulf absent from the attribution for a second consecutive session.

POLITICAL STRESS — 5/5, at the cap, and the scored series is UNRESOLVED then dark. (i) The scored AUTMUSAG all-grades series last printed a RESOLVED **$4.83 on 25 August** — **23 cents above the named $4.60 downgrade condition and eight cents above the $4.75 trigger that fired the upgrade. (!) Its 26 August cell, reported blank last edition, has BACKFILLED at $4.83 — identical to 25 August to four decimal places. §9.35 binds: a field identical to its predecessor at the extract's full precision is UNRESOLVED and no day-on-day change may be asserted for it, regardless of whether the row around it is live. The distance to the $4.60 condition is 23 cents whether the cell is read as a print or discarded, so nothing turns on it — which is why it is the right session to apply the rule cleanly. (!) The honest qualification is in A1.1: AUTMUSAG is a two-decimal series that has repeated values genuinely before, so the test discriminates less here than on a yield.** The series is DARK on 27 August and its 28 August value is PROSPECTIVE, and **§9.30 reads no trend through either. (ii) The direct reads turned down.** AAA regular fell 0.17 cents to **$4.0997** on 27 August and now sits **below both its week-ago $4.1044 and its month-ago $4.1097** — the first session in this window in which both comparisons are negative. **(iii) And the diesel record run BROKE.** AAA diesel fell 0.47 cents to **$5.6183** after FOUR consecutive war highs, leaving **19.76 cents** to the all-time record of $5.8159 set on 19 June 2022 — **widened from 19.29**. **It is still +7.06 cents on the week and +32.22 on the month, so the level and the trend remain a freight-fuel shock; what broke is the run of records, and the deceleration this document flagged a session early was correct. None of it can move this channel, which is scored on AUTMUSAG, and AUTMUSAG did not resolve.**

ESCALATION RISK — 5/5, at the cap. The kinetic case is the strongest recorded and the DIPLOMATIC case moved backwards on the record. (i) State the kinetic case at full strength. FOUR separate clocks, never merged: CENTCOM's combat-release silence has reached 30 days; 28 consecutive nights with no US or Israeli strike inside Iran; 8 with no Iranian ballistic launch; 9 with no drone launch. JMIC Update 090 records no confirmed attack or disruption on shipping in the Arabian Gulf, Gulf of Oman, Arabian Sea, Gulf of Aden, Southern Red Sea and Bab el-Mandeb or Northern Red Sea in the reporting period — the Strait of Hormuz is NOT among them. (!) A Tier 2 claim that no launch by ANY party occurred anywhere in theatre on 27 August is NOT CARRIED and is withdrawn: three Houthi ballistic missiles struck Mocha port on 26 August and a fourth hit Khokha on 27 August. The four clocks above are about Iran and the United States and are unaffected by it. Alongside it: no OFAC Iran action on 27 or 28 August, the 27 August action being Venezuela-only; and Qatar's prime minister physically in Tehran. **(ii) It is held, and §9.11 is the reason, but the reason is now stated by the parties rather than inferred. The White House said on the record on 27 August that 'no negotiations are happening right now' and that this 'will continue until the president feels that maybe they come to the table in a meaningful way', naming Operation Epic Fury and Operation Economic Outcast and confirming the blockade continues. Iran, the same day, said it is drafting CONDITIONS — 'ending the regional war' among them — and that the central channel opens only if the US complies, while the IRGC restated that the Strait does not reopen until Washington lifts the blockade, pays compensation and removes sanctions. Two parties publicly setting preconditions on the same day that a mediator visits is not a stand-down; it is a priced stalemate. (iii) And the physical record cuts against the downgrade on its own. A tanker was struck INSIDE the Strait on 25 August, published only on 27 August, unclaimed and unattributed, and it is that incident which moved the count 96 to 97 — 090's regional summaries record no NEW attack on shipping in the 26–27 August window; JMIC 090's mine language is unamended and it refers shipping to NAVCENT for current mine-danger coordinates; and it advises that vessels can expect to be hailed and directed onto the Iranian route. A tanker struck inside the waterway on the EVE of the corridor announcements, published only the day AFTER them and two days after the strike itself, is the clearest available measure of the distance between the instrument and the water.**

2.2 · Stage-4 thresholds

A — NOT ARMED, and UNTESTABLE AS WRITTEN (§9.39). A is a failed-auction test — an auction clearing with a tail above its when-issued level — and **Treasury publishes no when-issued level at all**, so no first-party Treasury source can ever confirm a tail. The clearing statistics are the substitute and they are reachable every time. **The $44bn 7-year note (CUSIP 91282CRJ2), auctioned 27 August, cleared at a high yield of 4.512% on a bid-to-cover of 2.50, with 97.63% of the competitive award allotted at the high. Name the denominator (§9.40): primary dealers took 12.264% of competitive-accepted and 12.234% of total award ex-SOMA; directs 26.959% and 26.893%; indirects 60.777% and 60.631%. Competitive tenders were $110.1bn against $43.9bn accepted, with a $5.66bn SOMA add-on outside the award. This is the FIFTH consecutive COUPON auction to clear with a dealer backstop in single or low double digits — 12.34% on the 20-year, 2.09% on the 30-year TIPS, 10.90% on the 2-year, 10.05% on the 5-year and 12.264% here, all five on the competitive-accepted denominator so the run sits on one basis — a TIPS is a coupon security, which is why it belongs, and the FRN is not, which is why it never does. (!) BUT SAY WHICH WAY IT MOVED: 12.264% is the SECOND-HIGHEST of the five, behind the 20-year's 12.34%, and the five span 2.09% to 12.34%. The run is intact; it is NOT tightening, and no trend within it is asserted.** The direct share at 26.959% is again large in absolute terms; **no trailing average for this tenor is published in this document, so no composition change is asserted. The $28bn 2-year FRN's 33.08% dealer take is structurally higher on floating-rate paper and is NEVER spliced into the coupon series.** Source: api.fiscaldata.treasury.gov auctions_query, read directly; the TreasuryDirect PDF endpoint returned empty.

B — STILL LAPSED for a THIRD close, and never closer on the binding leg. The test is a 30-year above 5.20% with a 10-year above 4.65%. **On the 27 August close the 10-year is SATISFIED at 4.6762%, clearing by 2.62 bp after failing by 0.35 bp the session before, and ONLY the 30-year fails — at 5.1931%, short by 0.69 bp. That is the narrowest 30-YEAR-leg miss this threshold has recorded ON A CLOSE — the 28 August intraday is nearer still at 0.59 bp — and the narrowest single-leg miss of any leg remains the 0.35 bp 10-year miss of 26 August, and the two are not the same claim. The ordinals are recomputed from the printed sequence every edition and are UNCHANGED, because no state changed: armed 29 Jul–3 Aug, out 4–5, in 6, out 7, in 10–12, out 13, in 14–18, out 19, in 20–24, out 25–27 — five armings, five lapses, TEN states and NINE changes. This is the FIFTH lapse, now three closes old, and a re-arm would be the SIXTH arming. Eight of the previous nine states lasted three closes or fewer and four lasted exactly one, so a three-close lapse already matches the longest state since 29 July other than the opening four-close arming.** On the 28 August intraday the 10-year still satisfies at 4.6703% and the 30-year fails by 0.59 bp. The standing inference holds: 4.65% and 5.20% are the middle of the distribution, not its edge.

C — 69.86, some 60.14 points below the 130 trigger. Bound it (§9.32): this is **not** the furthest MOVE has been from C in the war — the war low is 65.39 on 18 June — and it is **not** the lowest close of the sub-75 phase begun on 12 August, which is 69.23 on 13 August, nor the second- or third-lowest, which are 69.44 (26 August) and 69.58 (14 August). The war high of 115.02 (26 March) is 45.16 points away. **The pairing is the point and it WIDENED: MOVE sits 3.52 points BELOW its pre-war anchor while the 30-year sits 58.25 bp ABOVE its own, a combined divergence of 61.77 against 59.59 a session earlier. A fully normalised expectation of movement priced around a yield that has not normalised at all — and on 27 August both legs moved FURTHER from their anchors at once.**

2.3 · Cross-asset and macro record — compressed

27 August was a US labour and supply day and it landed before the Singapore cut. Initial claims for the week to 22 August fell 4,000 to 203,000, with the prior week revised UP to 207,000, a four-week average of 205,500 and continuing claims down 18,000 to 1,778,000. That is a labour market with no visible crack, which is the condition under which a September HIKE stays live. The advance goods trade deficit for July widened $17.4bn to $118.8bn, a 17.2% deterioration, with exports of industrial supplies including petroleum down 11.2% on the month but UP 18.4% on the year — the monthly and annual comparisons pulling in opposite directions in the same line, which is what a routing shock looks like in trade statistics. The 26 August cluster stands: July PCE +0.2% m/m and +3.7% y/y on the headline with core in line and real PCE flat; Q2 GDP unrevised at +1.5% SAAR with the PCE price index revised UP 0.2pp to +5.3%; GDPNow at 4.6% real for 2026:Q3, next updated 1 September. The live Fed risk remains a September HIKE — the 28–29 July FOMC held on a 9–3 vote with all three dissents for a hike, and 15–16 September carries an SEP. **NO probability is ADOPTED and none is scored on; no direct CME FedWatch print is obtainable and the figures in circulation are relayed and labelled in A2.3. The Kansas City Fed DID publish the Jackson Hole programme, on the evening of 27 August as its practice implies — correcting the last edition's 'NOT published' — and it is entirely payments, tokenisation and the international monetary system, with no energy or oil-shock session. Warsh's first keynote as Chair is 10:00 ET Friday 28 August and is PROSPECTIVE. NO Fed Board speech or press release is posted for 26 or 27 August on the Board's own indices, read directly; four regional presidents were quoted on the sidelines by trade press with no bank-published text, and those remarks are relayed in A2.3 rather than treated as Fed communication.** Full record — EIA weekly, the SPR conflict, freight, war risk and the auction internals in **A1.3**, **A1.6** and **A2.3**.

3 · SHOCK SCORE

Channel	Score	Rationale (detail in 2.1)	Move
Maritime denial	**5**	JMIC 090: Hormuz SEVERE unchanged, count 96 → **97** on the 25 Aug incident, mine danger areas still active and NAVCENT named as the source of current coordinates. Annex counts 6 and 5 vessels on 25–26 Aug against the scored ~138/day — 4.3% and 3.6%	Held — at cap
Oil price shock	**2**	Brent $88.52 close, +$1.58, ending the three-session down-run. Upgrade **$6.48** away on CO2 and $5.30 on the active — **NARROWED after two widenings**	Held — **gap narrowed**
US inflation impulse	**5**	5y5y 2.3182%, a SECOND consecutive close above the 2.30% firing level; downgrade anchor **17.62 bp** lower, widened from 16.12. BE10 7.66 bp above its anchor	Held — **at cap, and the nearer of the TWO market downgrade candidates**
Treasury stress	**5**	Volatility leg satisfied on eight consecutive closes but by less, at 69.86; yield leg fails by **19.31 bp**, widened from 16.71. **BOTH legs moved away — a joint deterioration, not a rotation**	Held — **17.62 bp on US-inflation against 19.31 here; inflation was already the nearer leg and the gap between them widened from 0.59 bp to 1.69**
Political stress	**5**	AUTMUSAG UNRESOLVED on 26 Aug (§9.35) and dark on 27–28; last resolved print $4.83, 23c above the $4.60 condition. Diesel's war-high run BROKE; the scored series cannot see it	Held — at cap
Escalation risk	**5**	A tanker struck INSIDE the Strait on 25 Aug, published 27 Aug; the White House says no negotiations are happening; Iran is drafting conditions. A 30-day CENTCOM combat silence against it (§9.11)	Held — at cap
TOTAL	**27 / 30**	**CRISIS band (22–30). Fourteenth consecutive edition at 27. FIVE of six channels sit at the cap, so no deterioration can raise this number through any of them — the sole route up is oil, at 2, and it moved TOWARD its upgrade this session after two editions moving away**	**Held**

4 · WHAT HAS CHANGED SINCE THE 27 AUGUST EDITION

1. The American operational record contradicted the American political claim. JMIC Update 090, 27 August: mine danger areas still active, and clearance coordinates 'available from NAVCENT NCAGS' — two days after the President said the mines were gone. **(!) It is an allied product carrying a NAVCENT referral, not a NAVCENT statement; no US Navy or CENTCOM text on the claim has issued.**
2. A tanker was struck INSIDE the Strait and the record of it appeared two days late. UKMTO Attack 121-26, issued 27 August for a 25 August event: AL SALAM II, eastbound near Khasab, projectile above the waterline, confirmed by the Omani Maritime Security Centre. Count 96 → 97. The corridor announcements of 26 August were made while it burned, unpublished. Unclaimed and unattributed.
3. Iran named a price instead of a route. Rezaei, 27 August, via Reuters: a LIST OF CONDITIONS is being drafted at the mediators' request, 'ending the regional war' among them, and a 'designated central channel' opens only on US compliance. Third Iranian description in two days, two of them geometries and one a revenue claim; none has an Omani counterpart, because the only Omani text describes no geometry, fee or revenue share.
4. Qatar mediated in person and on an incompatible position, and a standing premise of this document is narrowed. The Qatari PM met Araghchi, Pezeshkian and Ghalibaf in Tehran on 27 August seeking a return to the **pre-28 February** status quo. **(!) The inherited claim that the joint declaration is 'Qatar's gate on all mediation' is NOT supported by this window and is cut back (§9.23).**

5. Washington disowned the track on the record. Leavitt, 27 August: ‘No negotiations are happening right now.’ Operations named as **Epic Fury** and **Economic Outcast**; the blockade continues. **Bessent’s financial-institution designation still has not issued — a third day — and the 27 August OFAC action is Venezuela-only.**
6. The snapshot missed the whole US session in one direction and four readings failed with it (§9.31). Brent settled **$2.10** above the snapshot on CO2 and $2.47 on the active, TTF **€2.168**, the 2–30y sector +1.03 to +1.76 bp. **Brent ROSE $1.58, ending the down-run; the oil gap NARROWED to $6.48.** The four withdrawals are named in the headline and in A1.2.
7. Threshold B did not re-arm and the Treasury legs both moved away. 30-year short by 0.69 bp, the narrowest 30-year-leg miss recorded ON A CLOSE; 10-year SATISFIED at 4.6762%. MOVE rose 0.42 to 69.86 — an eighth consecutive close below 75 but satisfied by less — while the yield leg widened 2.60 bp to 19.31. §9.15 does not fire: this is joint deterioration, not rotation, and US-inflation REMAINS the nearer of the two candidates.
8. A vendor RESTATEMENT, two BACKFILLS, and a record run that broke. Henry Hub and TTF restated UP across 24–26 August and nothing else restated; SOFR backfilled for 26 August at 3.64; AUTMUSAG backfilled at an IDENTICAL $4.83 and is therefore UNRESOLVED (§9.35). AAA diesel fell 0.47 cents to $5.6183, ending four consecutive war highs. The 7-year cleared with dealers at 12.264%, the SECOND-highest of the five-auction run, behind the 20-year’s 12.34%.

5 · SCENARIO MAP

Scenario	Prob.	Shift and reasoning	Market implication
Deal collapse on terms	**43%**	**+1, modal for an eleventh edition, and the non-Tier-3 evidence is stated first. The White House said ON THE RECORD on 27 Aug that no negotiations are happening**, and the mediator physically in Tehran is carrying a **pre-28 February** objective that negates the framework. The three incompatible Iranian descriptions in two days are Tier 3 and corroborate rather than drive this	Brent firmer; strait stays shut
Return to full war	**17%**	–**1, a FOURTH consecutive cut.** FOUR non-comparable clocks, all longer: **a 30-day CENTCOM combat-release silence, 28 nights with no strike inside Iran, 8 with no Iranian ballistic launch and 9 with no drone launch** — and JMIC 090 records no confirmed attack on shipping in any of its six other named regions in the period	Brent above $110; 30-year above 5.40%
Contained but violent	**25%**	**+2, and the evidence is physical rather than rhetorical.** A tanker struck INSIDE the Strait on 25 Aug, published 27 Aug, unclaimed; count 96 → 97; **UKMTO’s mine language unamended and NAVCENT still issuing mine coordinates**; JMIC records vessels hailed and directed onto the Iranian route; three Houthi ballistic missiles struck Mocha port on 26 Aug and a fourth Khokha on 27 Aug — LAND targets, never counted as maritime incidents	Current regime persists; diesel leads
Regional relapse	**9%**	**Unchanged, deliberately, and the reasons now cut both ways.** Rezaei re-emerged on the DIPLOMATIC track, not the pipeline threat, and his 24 Aug naming of Saudi and Emirati bypass pipelines is unretracted single-stream Tier 3. Against that, **Iran’s fuel crisis is a live domestic-instability channel** (A2.3) — recorded, not scored	Gulf risk premium re-rates
Mediated pause	**6%**	–**2, the first cut after two rises, and it is driven by an on-the-record denial rather than by absence.** Qatar mediating in person is process; **‘no negotiations are happening right now’ from the White House podium, on the same day, is the substance.** Both parties published preconditions. **Not** talks — none convened, none scheduled, no timetable	Brent toward $72–80
Total	**100%**	**Deal collapse and full war carry 60%, UNCHANGED after two consecutive falls from the 67% high of 21 August. Four of five scenarios still keep the strait shut, so 60% is NOT a label for ‘the strait stays shut’. (!) The map is not the score: it moves on evidence the documented channel rules do not admit, which is why four rows shift on a session in which no channel did**	—

6 · WATCHLIST · NEXT 24–72 HOURS

1. Whether Threshold B re-arms on the 28 August close. The 10-year leg is satisfied on both the close and the intraday, and only the 30-year fails — by **0.69 bp** on the close and 0.59 on the intraday. **A re-arm would be the SIXTH arming and would follow a THREE-close lapse, so it would NOT be a one-session round trip; the three one-session re-arms SINCE 29 JULY, the window in which the state sequence is counted, are 10, 14 and 20 August.**
2. Whether the Treasury legs resume rotating or keep deteriorating together. 19.31 bp on the yield leg against a largest-single-session 30-year move since 1 August of 9.15 bp — three or more sessions away. The US-inflation leg REMAINS the nearer market downgrade candidate at 17.62 bp, as it was a session ago at 16.12 against 16.71, but it sits on a forward that has broken and retraced within a session twice (§4a, §9.18).
3. Whether coordinates are ever published, and whether OMAN publishes at all. Coordinates, not communiqués. Oman’s MFA has published no text on the corridor since the 25 August joint statement — verified against fm.gov.om directly for 26, 27 and 28 August. **Watch fm.gov.om and ONA, and watch whether Oman contradicts the IRGC revenue-sharing claim, which no Omani text supports.**
4. Whether UKMTO Update 091 and VRA Overview No. 4 land, and whether the mine language survives them. 091 is due about 29 August and No. 4 is due 28 August; both are PROSPECTIVE, not unobtained (§9.46). **A NAVCENT or CENTCOM text addressing the presidential mine claim directly would settle what 090 only narrows.**
5. Warsh’s first keynote as Chair, 10:00 ET Friday 28 August. The programme is now published and contains no energy session, so any oil-shock signal has to come from the opening remarks themselves. It lands into a 203k claims print and a live September-hike question.

Bessent's designation, if it issues, lands on top of it.

6. Whether Brent holds the reversal and whether the transit counts move at all. The 28 August intraday gave back 39 cents of the $1.58. **Quote both oil bases every time (§9.36).** On transits the test is whether the JMIC annex leaves single digits, and Baltic week 35 plus the 1 September GDPNow and EIA retail prints are the next scheduled reads.

Sections 7–9 and the anchor and trigger levels are published verbatim in the companion ANNEX for 28 August 2026 (A1, A2.3, A7–A10), delivered alongside this document. All market prices, yields, spreads and both gasoline series carried in the extract come only from the Tecity Bloomberg extract and never from the web; AAA retail fuel and Treasury auction statistics are separately sourced, are labelled where used, and are not scored. **Figures marked NOT OBTAINED — the register is in A7 — are absent from the record, not unchanged; figures marked PROSPECTIVE relate to a session that had not occurred at the Singapore cut and are not retrieval failures.**